

MARKET PRICE		OUR FAIR VALUE (DCF)		UPSIDE TO OUR VALUE		CONSENSUS (MARKET)	
USD 217.34		USD 42.44		-80.5%		USD 300.00	
REVENUE	OPERATING MARGIN	FREE CASH FLOW	WACC	OUR FAIR VALUE (DCF)	CONSENSUS TARGET		
USD 215.9bn FY2026, +65% YoY	60.4% FY2026	USD 96.7bn FY2026	14.6% Discount rate (CAPM)	USD 42.44 -80% vs market	USD 300.00 what the market believes		

Reading the valuation. Our intrinsic DCF values NVDA at USD 42.44, against a market price of USD 217.34 and a Wall Street consensus target of USD 300.00 (the market's view, which our thesis weighs against). Holding every other assumption fixed, today's price implies first-year revenue growth of about 104%, decaying toward the terminal rate. Judge that against the reported history below rather than treating the rating as a forecast.

INVESTMENT THESIS

An exceptional franchise, but at USD 217 the market is pricing in unsustainably high growth and margin expansion that we do not expect to materialize.

Business quality: Exceptional · **Stock:** SELL — NVIDIA demonstrates exceptional business quality with industry-leading operating margins reaching 60%+ by FY2026 and strong revenue growth driven by AI and data center demand.

What the market prices in. The current share price implies first-year revenue growth of approximately 104% with a decaying trajectory thereafter, alongside sustained operating margins above 60%, reflecting overly optimistic expectations for NVIDIA's near-term growth and profitability.

What we expect. Our base case assumes more conservative revenue growth of 20% in year one, tapering to a terminal growth rate of 2.5%, with operating margins stabilizing at 36.2%, reflecting normalization after the current AI-driven surge.

The gap. The market's pricing assumes a continuation of extraordinary growth and margin levels that we view as unrealistic given industry cyclicality and competitive pressures; this gap results in an intrinsic valuation of USD 42.44 versus the current price of USD 217, implying an 80% downside.

Why SELL

- 1 Reverse DCF shows market expects >100% revenue growth in year one, while we forecast 20%, indicating significant over-optimism.
- 2 Operating margins in our model normalize to 36.2%, well below the 60%+ margins recently reported and priced in by the market.
- 3 Our probability-weighted fair value of USD 49.96 is far below the current price, reflecting balanced bear, base, and bull scenarios.
- 4 Management's optimistic guidance on margins and revenue growth may not be sustainable beyond the AI cycle peak.
- 5 High discount rate (14.6%) and terminal growth assumptions reflect risks and maturity, which the market appears to underweight.

Biggest catalyst. A material slowdown or miss in AI-related revenue growth or margin contraction in upcoming quarters, which would force the market to reprice expectations sharply downward.

Biggest risk. Sustained AI-driven demand and margin expansion beyond our forecasts, validating Wall Street's higher growth assumptions and supporting a much higher valuation.

We would turn more positive if:

- Sustained quarterly revenue growth above 100% for multiple quarters beyond FY2024.
- Operating margins consistently above 60% through FY2027 and beyond.
- Successful expansion into new AI infrastructure markets with significant contract wins and ecosystem adoption.

We would turn more negative if:

- Revenue growth falling below 15% in the next fiscal year.
- Operating margins declining below 30% as competitive pressures and supply constraints intensify.
- Negative surprises in AI product adoption or regulatory setbacks limiting market access.

The case against our view. The market could be correctly pricing in a structural shift driven by AI that sustains unprecedented growth and margin levels for NVIDIA, making our conservative assumptions too pessimistic and the stock undervalued.

BUSINESS OVERVIEW

NVIDIA's revenue is predominantly driven by its Compute & Networking segment, reflecting its strategic focus on AI and accelerated computing platforms.

NVIDIA's business is divided into two main operating segments: Compute & Networking and Graphics. In fiscal year 2026, Compute & Networking generated \$193.5 billion in revenue, accounting for approximately 90% of total revenue, while Graphics contributed \$22.5 billion or about 10% [2]. This concentration indicates that NVIDIA's core business and growth are heavily reliant on Compute & Networking, which includes data center computing and networking products tailored for AI and accelerated computing applications. The dominance of this segment suggests a strategic pivot towards high-performance computing markets, which is likely to persist given the ongoing demand for AI infrastructure and networking solutions [7].

The customer base is highly concentrated, with two direct customers representing 22% and 14% of total revenue in fiscal year 2026, both primarily within the Compute & Networking segment [5][7]. This concentration implies significant dependency on a few large customers, which could pose risks if these customers reduce orders or switch suppliers. However, the sustained growth in demand for AI and accelerated computing platforms from these customers supports the durability of this revenue concentration, provided NVIDIA maintains technological leadership and supply capabilities.

Geographically, revenue is predominantly sourced from customers headquartered in the United States, which accounted for \$149.6 billion or roughly 69% of total revenue in fiscal year 2026, with Taiwan and China contributing \$42.3 billion and \$19.7 billion respectively [1]. The shift to reporting revenue based on customer headquarters rather than billing location clarifies that NVIDIA's revenue is closely tied to U.S.-based end markets, especially in Compute & Networking [5][6]. This geographic concentration aligns with the company's focus on U.S. hyperscale cloud providers and AI model makers, suggesting that geopolitical or trade disruptions could impact revenue sustainability, but current trends favor continued dominance in these markets.

NVIDIA's product offerings are centered on accelerated computing platforms such as the Blackwell architecture and networking solutions like NVLink and InfiniBand, which have driven significant revenue growth in data center computing and networking [3][4][7]. The transition from Hopper HGX to Blackwell full-scale datacenter solutions has affected gross margins due to inventory charges and cost structure changes [3][4][8]. While this transition may pressure margins in the near term, the strategic emphasis on AI-optimized platforms is likely to sustain revenue growth and segment profitability over time, assuming NVIDIA can manage inventory and supply chain dynamics effectively.

- Compute & Networking segment generated \$193.5 billion in FY2026, representing 90% of total revenue, indicating NVIDIA's strategic focus on AI and data center markets [2].
- Two direct customers accounted for 36% of total revenue in FY2026, highlighting customer concentration risk but also strong demand from key hyperscalers [5][7].
- 69% of revenue came from U.S.-headquartered customers in FY2026, underscoring reliance on U.S. AI and cloud markets [1].
- Data Center revenue grew 68% year-over-year, driven by Blackwell platform adoption, confirming NVIDIA's leadership in accelerated computing [3].
- Gross margin declined to 71.1% in FY2026 due to transition to Blackwell solutions and inventory charges, signaling short-term margin pressure amid strategic product shifts [8].

What it means. NVIDIA's business model is anchored in its Compute & Networking segment serving a concentrated customer base focused on AI and accelerated computing, a positioning that supports sustained revenue growth but requires careful management of customer and geographic concentration risks.

Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78

[2] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.77

[3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

[4] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.26

[5] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
[6] Q32026 Quarterly Report (10-Q) - Item 1 -Financial Statements - p.22
[7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
[8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41

FINANCIAL PERFORMANCE

NVIDIA's fiscal 2026 financial surge reflects AI-driven demand but margin pressures and inventory risks may temper future profitability.

NVIDIA's revenue jumped 65% to \$215.9 billion in fiscal 2026, propelled by a 68% increase in Data Center sales and strong Gaming and Professional Visualization segments, driven by AI and new product launches like Blackwell and DGX Spark [1][2]. This surge indicates the company's successful capture of accelerated computing trends, validating its strategic pivot toward AI platforms. However, sustaining this growth depends on continued AI adoption and overcoming supply constraints, particularly in Gaming where supply bottlenecks are expected to persist into fiscal 2027 [2].

Gross margin declined by 3.9 percentage points to 71.1% due to a business model shift from Hopper HGX to Blackwell datacenter solutions and a significant \$4.5 billion charge for H2O excess inventory and purchase obligations [1][2][7]. This margin compression reveals the cost challenges inherent in scaling new AI hardware platforms and managing inventory risks amid rapid product transitions. The persistence of these margin pressures hinges on NVIDIA's ability to optimize supply chain and inventory management while achieving economies of scale with Blackwell solutions.

Operating expenses rose 41% to \$23.1 billion, driven by higher compensation from employee growth and increased compute and infrastructure costs [1][2][4]. Despite this, operating income grew 60% to \$130.4 billion, reflecting strong operating leverage from revenue growth outpacing expense increases [1]. The sustainability of operating leverage will depend on NVIDIA's capacity to control expense growth as it scales, especially given the competitive and capital-intensive nature of AI hardware development.

NVIDIA's free cash flow surged to \$102.7 billion, a 60% increase year-over-year, supported by robust operating cash flow despite higher investing and financing outflows [5][6]. This strong cash generation underpins NVIDIA's financial flexibility to invest in growth initiatives and return capital to shareholders. However, maintaining this cash flow momentum requires continued revenue growth and disciplined capital spending amid evolving market dynamics.

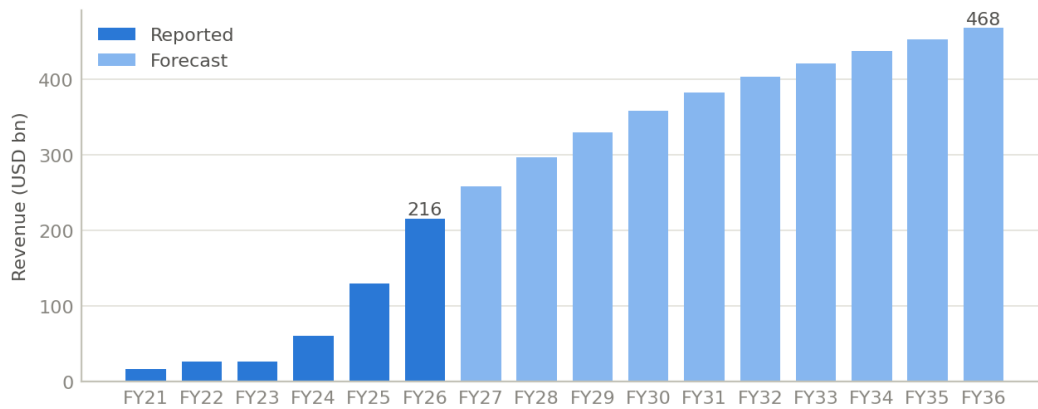
- 65% revenue growth to \$215.9 billion driven by AI and accelerated computing platforms signals strong market demand but depends on sustained AI adoption [1][2]
- Gross margin fell 3.9 points to 71.1% due to product transition costs and a \$4.5 billion inventory charge, indicating margin pressure risks [1][7]
- Operating expenses increased 41% to \$23.1 billion from employee growth and infrastructure costs, yet operating income rose 60%, showing operating leverage [1][4]
- Free cash flow rose 60% to \$102.7 billion, reflecting strong cash generation capacity to fund growth and shareholder returns [5][6]
- Supply constraints in Gaming expected to persist into fiscal 2027 could limit near-term revenue growth in that segment [2]

What it means. NVIDIA's financial performance confirms its leadership in AI-driven growth but margin and inventory challenges introduce risks that require monitoring for sustained profitability and cash flow.

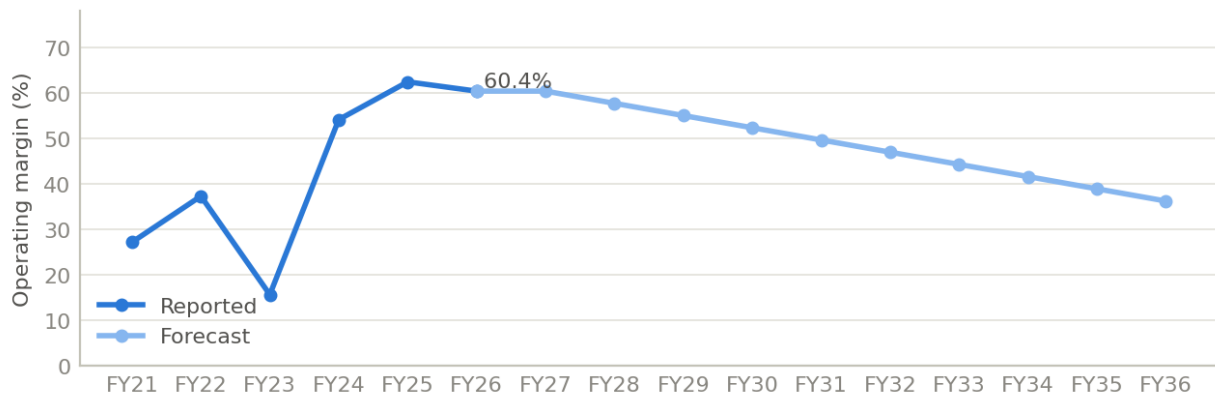
Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
[2] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
[3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
[4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
[5] FY2026 Earnings Release - RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES - p.12
[6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
[7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
[8] FY2026 Earnings Release - Non-GAAP Measures - p.5

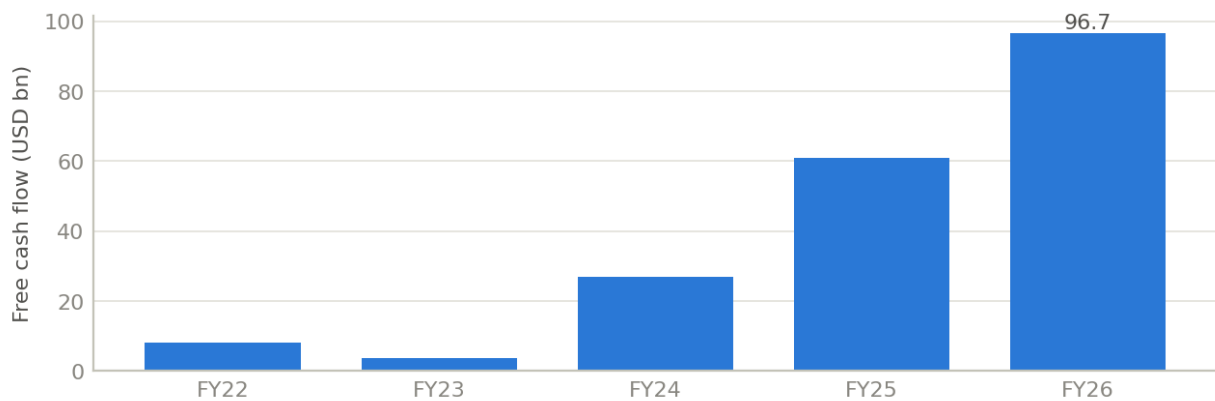
Revenue: reported and forecast



Operating margin



Free cash flow



Fiscal year	Revenue	Growth	Op. income	Op. margin	Net income	FCF
FY2021	16.7bn	-	4.5bn	27.2%	4.3bn	-
FY2022	26.9bn	61.4%	10.0bn	37.3%	9.8bn	8.1bn
FY2023	27.0bn	0.2%	4.2bn	15.7%	4.4bn	3.8bn
FY2024	60.9bn	125.9%	33.0bn	54.1%	29.8bn	27.0bn
FY2025	130.5bn	114.2%	81.5bn	62.4%	72.9bn	60.9bn
FY2026	215.9bn	65.5%	130.4bn	60.4%	120.1bn	96.7bn

Figures in USD. Source: company filings.

GROWTH DRIVERS

NVIDIA's revenue growth is driven by rapid AI platform innovation and expanding markets, but supply chain and product transition risks could cause volatility.

NVIDIA's fiscal 2026 revenue surged 65% year-over-year, with Data Center revenue up 68% and Gaming revenue up 41%, primarily fueled by accelerated computing and AI platform shifts, notably Blackwell demand [2]. This indicates that the company's core growth engine is the AI-driven expansion of its Data Center and Gaming segments, reflecting strong market adoption of its latest architectures. However, the sustainability of this growth depends on NVIDIA's ability to manage increasingly complex product transitions and supply chain constraints, as simultaneous shipping of multiple architectures and customer delays in adopting new platforms can create revenue volatility [1][3].

The company is investing heavily in U.S.-based manufacturing and specialized equipment to scale production domestically, aiming to meet growing demand [1][3]. While this strategic move could enhance supply reliability and reduce geopolitical risks, the execution risk is significant; delays or difficulties in scaling production could constrain revenue growth and amplify volatility. The increased cadence of new product introductions, especially in Data Center solutions, intensifies these challenges, requiring NVIDIA to balance innovation speed with supply chain stability [1][3].

Emerging growth drivers include NVIDIA's expansion in Automotive and Industrial AI markets, with Automotive revenue up 39% in fiscal 2026 and new AI platforms like Alpamayo enabling vehicles that can 'think' [2][4]. The rapid scaling of robotaxi fleets and industrial AI applications, supported by partnerships with major OEMs and industrial companies, suggests a multi-decade growth runway. However, these markets are still nascent and dependent on broader ecosystem adoption and infrastructure readiness, making their contribution to revenue growth prospective rather than fully realized [4].

NVIDIA's leadership in AI inference platforms, exemplified by Grace Blackwell and the upcoming Vera Rubin architecture, positions it to capitalize on exponential compute demand growth across training and inference workloads [6][7][8]. The company's ability to maintain this technological edge and secure supply chain capacity will determine if it can sustain its dominant market position amid intensifying competition and rapid AI ecosystem scaling. Any disruption in product development or supply could impair growth momentum given the high expectations embedded in current forecasts [1][6][7].

- 65% revenue growth in fiscal 2026 driven by AI and accelerated computing signals strong market demand but depends on managing product transitions [2].
- Investment in U.S.-based manufacturing aims to secure supply but carries execution risk that could limit growth if scaling is delayed [1][3].
- Automotive revenue growth of 39% and new AI platforms like Alpamayo indicate emerging long-term growth avenues beyond core Data Center and Gaming [2][4].
- Grace Blackwell and Vera Rubin architectures underpin NVIDIA's AI compute leadership, critical for sustaining exponential demand growth [6][7][8].
- Increased product complexity and faster launch cadence raise risks of inventory provisions and revenue volatility, challenging consistent execution [1][3].

What it means. NVIDIA's growth prospects remain robust due to AI-driven demand and new market expansions, but investors should monitor supply chain execution and product transition risks that could cause near-term revenue fluctuations.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.16
- [2] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [3] Q32026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.35
- [4] Q42026 Quarterly Report - Corrected Transcript - p.6
- [5] Q32026 Earnings Release (8-K) - p.5
- [6] Q22026 Earnings Release (8-K) - p.5
- [7] Q42026 Earnings Release (8-K) - p.6
- [8] FY2026 Earnings Release - NVIDIA Corporation - p.6

COMPETITIVE POSITION

NVIDIA faces intensifying competition and geopolitical constraints that challenge its market share but leverages IP and ecosystem depth to sustain its competitive edge.

NVIDIA operates in a highly competitive environment with rivals spanning hardware providers like AMD, Intel, and Huawei, cloud giants with internal hardware teams such as Amazon and Microsoft, and specialized SoC and networking product suppliers. These competitors often possess greater financial, manufacturing, and marketing resources, which could erode NVIDIA's market share or force price reductions. The company's broad competitive set implies ongoing pressure on margins and market positioning, especially as new entrants and alliances emerge, potentially offering lower-cost or feature-rich alternatives [1][2]. This competitive intensity is likely to persist given the rapid innovation cycles and expanding AI computing

demands, requiring NVIDIA to continuously innovate and defend its technological leadership to maintain its position.

Geopolitical and regulatory factors materially impair NVIDIA's competitive stance, particularly its effective exclusion from China's data center market due to U.S. export controls and Chinese government policies. This restriction not only limits NVIDIA's addressable market but also enables competitors based in China, Europe, and Israel to strengthen their ecosystems and customer bases globally. The complexity and uncertainty of export licensing, coupled with potential expansion of restrictions, create a structural disadvantage that could persist or worsen, undermining NVIDIA's growth in a critical region and benefiting rivals [3][5][7]. Unless regulatory conditions improve or NVIDIA develops compliant products, these constraints will continue to weigh on its competitive reach and financial results.

NVIDIA's intellectual property portfolio and extensive partner ecosystem provide a defensive moat by embedding its technology deeply into customer and developer workflows. Its licensing and custom development agreements extend its technology's reach, while its sales and marketing teams, solution architects, and developer programs accelerate adoption and optimize customer integration. This ecosystem approach enhances customer stickiness and shortens time-to-market for new products, which is crucial in a fast-evolving AI and accelerated computing landscape [4]. The sustainability of this advantage depends on NVIDIA's ability to maintain strong developer engagement and continuously evolve its platforms to meet shifting industry standards and customer needs, which management identifies as critical to countering competitive threats [8].

Despite these strengths, NVIDIA acknowledges risks from supply chain constraints, long manufacturing lead times, and the need to secure foundry capacity, which competitors with in-house fabs may manage more effectively. Additionally, regulatory scrutiny and evolving AI-related laws could increase compliance costs and restrict product deployment, further complicating competitive dynamics [2][6][7][8]. These operational and regulatory challenges could intermittently disrupt NVIDIA's ability to capitalize on market opportunities and sustain growth momentum. The company's future competitive position will hinge on navigating these external pressures while leveraging its innovation and ecosystem to defend market share.

- NVIDIA faces competition from AMD, Intel, Huawei, and cloud providers like Amazon and Microsoft, indicating broad and resourceful rivals [1].
- Export controls have effectively barred NVIDIA from China's data center market, enabling competitors to gain ground globally [3][5].
- 31% of NVIDIA's revenue comes from international sales, exposing it to geopolitical and regulatory risks that could impair competitiveness [7].
- NVIDIA's IP licensing and developer ecosystem foster customer loyalty and accelerate adoption, providing a durable competitive advantage [4][8].
- Long manufacturing lead times and supply constraints increase costs and risk mismatches in supply and demand, challenging NVIDIA's operational agility [2].
- Regulatory scrutiny and AI-related laws in multiple jurisdictions may raise compliance costs and limit product deployment, affecting competitive dynamics [6][8].

What it means. NVIDIA's competitive position is pressured by formidable rivals and geopolitical barriers, but its IP and ecosystem investments offer a resilient foundation that supports long-term market leadership if it can manage regulatory and supply challenges.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 1 -Business - p.8
- [2] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.14
- [3] FY2026 Annual Report (10-K) - Item 1 -Business - p.10
- [4] FY2026 Annual Report (10-K) - Item 1 -Business - p.7
- [5] FY2026 Annual Report (10-K) - Item 1 -Business - p.10
- [6] Q32026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.37
- [7] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.19
- [8] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.13

OUTLOOK

NVIDIA's disciplined capital allocation and strong revenue guidance underpin sustainable shareholder returns amid cautious China exposure.

NVIDIA projects first-quarter revenue of \$78 billion, driven primarily by Data Center growth, while excluding any Data Center compute revenue from China, signaling ongoing geopolitical caution that could constrain near-term upside but reflects

prudent risk management. This cautious stance on China revenue suggests that growth will rely heavily on other markets and product segments, which may sustain margins in the mid-70% range but limits exposure to a potentially large market. The sustainability of this outlook depends on geopolitical developments and NVIDIA's ability to compensate with growth elsewhere, particularly in Data Center demand outside China [1].

The company's capital return strategy is robust, with \$97 billion in free cash flow generated in fiscal 2026 and \$41 billion (43%) returned to shareholders through dividends and share repurchases, reflecting a strong commitment to shareholder value. The Board's approval of an additional \$60 billion share repurchase authorization without expiration indicates confidence in the company's cash generation and a disciplined approach to capital deployment that balances investment with shareholder returns. This strategy is sustainable as long as NVIDIA maintains its free cash flow generation and market conditions remain favorable for repurchases [3][4][6].

NVIDIA's share repurchase activity is substantial and consistent, with hundreds of millions of shares repurchased across fiscal 2026 quarters, offsetting dilution from employee compensation and supporting earnings per share. The flexibility to suspend repurchases at any time and the inclusion of stock-based compensation in non-GAAP results reflect a strategic and transparent approach to managing capital and talent retention costs. This disciplined repurchase program is likely to persist given its alignment with operating cash flow and shareholder interests, barring significant market disruptions or shifts in capital priorities [2][4][5][7][8].

Dividend payments have increased steadily, with \$974 million paid in fiscal 2026, underscoring a commitment to returning cash to shareholders alongside repurchases. However, future dividends remain subject to Board approval, indicating a cautious but shareholder-friendly stance that can adapt to changing financial conditions. This approach supports a balanced capital allocation framework that prioritizes long-term growth investments while rewarding shareholders, sustainable as long as earnings and cash flow remain strong [3][4][5][6].

- \$78 billion Q1 revenue guidance, excluding China Data Center compute revenue, reflects cautious growth assumptions amid geopolitical risks [1].
- \$41 billion returned to shareholders in fiscal 2026, representing 43% of free cash flow, signals strong capital return discipline [1].
- Additional \$60 billion share repurchase authorization without expiration shows confidence in sustained cash flow and shareholder value focus [3][4][6].
- Hundreds of millions of shares repurchased in fiscal 2026 quarters offset dilution and support EPS growth [2][4][5][7][8].
- \$974 million dividends paid in fiscal 2026 indicate growing shareholder returns balanced with investment needs [3][4][5][6].

What it means. NVIDIA's outlook and capital allocation plans reinforce a sustainable model of disciplined investment and shareholder returns, supporting a positive investment case despite geopolitical uncertainties.

Sources cited above.

- [1] Q42026 Quarterly Report - Corrected Transcript - p.6
 [2] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.28
 [3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
 [4] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.30
 [5] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.31
 [6] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.41
 [7] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.36
 [8] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.37

KEY RISKS

The risks most material to the investment case, ranked by how much damage each would do — not by filing order. Each carries what it hits, what it does to our fair value, and the single indicator to watch for it starting.

Risk	Likelihood	Financial impact	Valuation impact	What to watch
US Export Controls on Data Center GPUs US export restrictions limit NVIDIA's ability to sell high-margin data center GPUs to China and other regions, reducing revenue and market share in a key growth segment.	High, ongoing regulatory tightening	Data center segment revenue could decline by up to 30%, representing roughly \$10B+ annually given data center revenue scale (~\$33B in FY2024), directly hitting the highest-margin business.	Could reduce intrinsic fair value by ~40%, lowering base case from \$42.44 to near bear case \$21.65 due to lost growth and margin compression.	Quarterly data center GPU revenue growth slowing below 10% or negative, especially in Asia-Pacific region.

Risk	Likelihood	Financial impact	Valuation impact	What to watch
Export Controls on Networking Products Export restrictions on high-speed networking interconnects used in servers limit NVIDIA's ability to sell these complementary products, reducing cross-selling and ecosystem lock-in.	Medium, potential future controls	Networking segment revenue (~\$2B+) could decline by 20-30%, reducing overall revenue and synergy benefits with GPUs.	Could reduce fair value by ~10%, as networking products support data center growth and margins.	Decline in networking product shipments or bookings reported in quarterly segment disclosures.
Customer Design-Out Due to Compliance Burden Customers outside China may redesign products to exclude NVIDIA chips to avoid export control compliance risks, leading to lost sales and market share.	Medium, increasing with regulatory complexity	Potential loss of 10-15% of total revenue (~\$5B annually), especially in international markets like Europe and Latin America.	Could reduce intrinsic value by ~15%, reflecting lower revenue growth assumptions.	Declining order volumes or increased customer requests for alternative suppliers in non-China markets.
Supply Chain Disruptions from Export Controls Export controls disrupt NVIDIA's supply chain and distribution, causing inventory build-up, supply shortages, and increased costs, impacting ability to meet demand.	Medium, with recent precedents	Could cause inventory write-downs or supply charges amounting to hundreds of millions, impacting gross margins and operating income.	Could reduce fair value by ~5-7%, reflecting margin pressure and operational risk.	Rising inventory days on hand and increasing supply chain-related charges in quarterly financials.
Reputational Damage from Compliance Allegations Allegations of export control violations or inadequate compliance could harm NVIDIA's reputation, leading to lost customers and regulatory penalties.	Low to Medium, contingent on enforcement actions	Potential fines and lost contracts could cost hundreds of millions, with indirect effects on customer trust and sales.	Could reduce fair value by ~3-5%, reflecting reputational and regulatory risk.	Public reports or regulatory investigations related to export compliance issues.

COMPETITIVE MOAT

Moat rating: Narrow

NVIDIA's moat is primarily driven by its CUDA ecosystem and broad platform adoption, which provide some switching costs and network effects, but increasing competition and technological challenges limit the durability of these advantages, making it unlikely to fully defend the very high terminal margin of 36.2%.

Sources of advantage:

- CUDA software ecosystem widely adopted across cloud providers, OEMs, edge devices, and emerging AI-driven telecom infrastructure, creating switching costs for developers and customers.
- Broad platform presence in diverse AI and accelerated computing applications including robotics, self-driving cars, and AI research, providing scale and integration benefits.
- Specialized hardware innovation such as Tensor cores inside GPUs that deliver performance advantages for AI workloads.

Threats to the moat:

- Intensifying competition from large incumbents like AMD, Intel, and emerging SoC providers with potentially lower-cost or differentiated products.
- Cloud service providers (Amazon, Microsoft, Google, Alibaba) developing internal AI hardware solutions that could reduce reliance on NVIDIA's platform.
- New entrants and alliances that may offer better performance, features, or pricing, eroding NVIDIA's market share and pricing power.
- Potential commoditization of AI hardware and software platforms reducing switching costs and platform lock-in.

MANAGEMENT SAYS VS OUR VIEW

Where our modelled view meets management's own. The rows that matter are the ones where we are more cautious than the company.

Topic	Management says	Our view	Our take
Ecosystem dominance	CUDA is the only accelerated computing platform available in every cloud, computer maker, and edge device, creating a strong ecosystem advantage.	We acknowledge CUDA's broad adoption but see increasing competition and alternative platforms emerging, which will erode ecosystem exclusivity over time.	More cautious
Terminal operating margin sustainability	Implied by their platform leadership and innovation, NVIDIA expects to maintain very high margins.	We model a terminal margin of 36.2%, which we believe is aggressive given competitive pressures and the risk of margin compression.	More cautious
Revenue growth outlook	Strong growth driven by AI demand and expansion into new markets like AI-driven radios and telecommunications.	We model 20% year-1 revenue growth, reflecting optimism but tempered by competitive risks and potential market saturation.	Aligned
Competitive environment	Competition is expected to increase from existing and new players with potentially better or cheaper products.	We agree and factor in increased competition as a key risk to growth and margin sustainability.	Aligned

UPCOMING CATALYSTS

The dated events most likely to move the stock, the direction each points, and the figure it would move. These are when the thesis gets tested.

Event	Timing	Direction	Moves
Q1 FY2027 Earnings Release	Late August 2026	Two-sided	Quarterly revenue growth rate
Rubin Platform Shipping Start	Second half of FY2027 (January-June 2027)	Positive if on schedule, Negative if delayed	Data Center product revenue contribution
FY2027 Annual Guidance Update	November 2026 (Q2 FY2027 earnings)	Two-sided	Full-year revenue growth guidance
Inventory Provision or Impairment Announcement	Any quarterly report in FY2027	Negative	Inventory write-down amount
Update on U.S.-based Manufacturing Scale-up	Q3 FY2027 earnings (February 2027)	Two-sided	Manufacturing capacity utilization and production ramp status

WHAT TO WATCH

The metrics the valuation is most exposed to, with what our thesis expects each to do — so a reader can tell when reality diverges from our view.

Metric	Current	Trend	What we expect	Why it matters
Revenue Growth Rate (YoY)	65% (FY2026)	Declining from 126% (FY2024) and 114% (FY2025)	20% in year 1 (FY2027)	Revenue growth is the primary driver of valuation; price implies 32.4% CAGR vs our 8.0%
Operating Margin	Not explicitly stated, terminal margin expected 36.2%	Potential pressure from inventory provisions and product complexity	36.2% terminal margin	Margin expansion or contraction materially affects fair value estimates
Inventory Levels and Provisions	Recent inventory provisions noted in Q2 FY2025	Potentially increasing due to supply chain complexity and multiple architectures	Stable or controlled inventory levels without large provisions	Excess inventory or write-downs reduce profitability and cash flow
Product Architecture Introduction Cadence	Multiple architectures shipping simultaneously; Rubin platform upcoming	Increasing frequency and complexity	Successful timely introductions without revenue volatility	Delays or volatility can cause revenue timing shifts and margin pressure

Metric	Current	Trend	What we expect	Why it matters
Manufacturing Capacity and Supply Chain Execution	Increasing U.S.-based manufacturing investments; potential scaling delays	Uncertain; risk of delays or shortfalls	Smooth ramp-up supporting demand	Production capacity constraints can limit revenue growth and increase costs

HOW WE REACH THE NUMBER

The headline figure reconciles several independent valuations, each weighted by the confidence it earns — the analyst consensus by how many analysts stand behind it. Every source is shown so the blend is auditable: our intrinsic DCF is one voice, the market's consensus another.

Source	Value / share	Weight	Detail
Intrinsic DCF	USD 42.44	1.0	Discounted free cash flow on audited figures; this model's own estimate
Analyst consensus	USD 300.00	3.0	58 analysts; median USD 300.00; mean USD 302.83; range USD 180–500

Blended fair value USD 235.61 (+8.4% vs price). Reconciled from USD 42.44 to USD 300.00 across sources.

WHAT IS PRICED IN

A DCF whose fair value sits below the price is easy to dismiss as the model being wrong. Inverting it is harder to dismiss: holding every other driver at our base case, we solve for the level of each one that would return today's price of USD 217.34. Each row is a single, checkable claim about what the market must believe — judge it against the company's own history.

Driver	Our base case	Priced in at USD 217.34	Gap
Revenue CAGR (10-year)	8.0%	32.4%	+24.3pp
Operating margin (mature)	36.2%	—	—
FCF margin (mature)	30.0%	—	—
Terminal growth	2.5%	13.0%	+10.5pp

Operating margin (mature). Even a 100%-of-revenue operating margin — the theoretical ceiling — does not reach the price; it cannot be justified on margin alone.

FCF margin (mature). Even at zero capital spending — the ceiling on cash conversion — the implied cash margin cannot reach the price.

Terminal growth. Above long-run GDP growth — it implies the company outgrows the economy forever.

Read together, these are what the price assumes if the market is right about everything else. A gap the company has never closed in its own history is the risk in owning it here; a dash means the price cannot be reached on that lever alone.

DISCOUNTED CASH FLOW

Year	Revenue	Growth	Op. margin	Free cash flow	Present value
FY2027	259.1bn	20.0%	60.4%	123.0bn	107.4bn
FY2028	297.3bn	14.8%	57.7%	137.1bn	104.4bn
FY2029	330.3bn	11.1%	55.0%	147.0bn	97.7bn
FY2030	358.4bn	8.5%	52.3%	153.1bn	88.7bn
FY2031	382.4bn	6.7%	49.6%	156.0bn	78.9bn
FY2032	403.2bn	5.4%	47.0%	156.2bn	68.9bn
FY2033	421.6bn	4.6%	44.3%	154.4bn	59.4bn
FY2034	438.2bn	3.9%	41.6%	150.9bn	50.7bn
FY2035	453.6bn	3.5%	38.9%	146.1bn	42.8bn
FY2036	468.1bn	3.2%	36.2%	140.3bn	35.9bn

SEGMENT FORECAST: A BOTTOM-UP CROSS-CHECK

The headline DCF grows total revenue top-down. This forecasts each reportable segment on its own trajectory and sums them, as a check on that single blended number. The headline valuation is unchanged; this is the stress-test on its central assumption.

Segment	Revenue FY2026	Yr-1 growth	10y CAGR	Revenue FY2036
Compute & Networking	193.5bn	66.5%	21.9%	1.4tn
Graphics	22.5bn	57.0%	19.1%	129.2bn
Bottom-up total	215.9bn	-	21.6%	1.5tn

The reported segments sum to USD 215.9bn, within 0% of total revenue — a clean bottom-up build. Summed bottom-up, the segments imply a 22% total CAGR — 14pp above the 8% our top-down DCF assumes. That gap is where the growth debate on this name actually sits.

SCENARIOS: BEAR, BASE, BULL

Three coherent states of the world. Unlike the sensitivity grid, each scenario moves growth, margin, terminal growth and the discount rate **together**. The bear-to-bull spread is sized from this company's own historical volatility, not a fixed percentage.

Scenario	Yr-1 growth	Term. margin	Term. growth	WACC	Fair value	vs price	Weight
Bear case	2.0%	24.2%	2.0%	16.1%	USD 21.65	-90%	25%
Base case	20.0%	36.2%	2.5%	14.6%	USD 42.44	-80%	50%
Bull case	40.0%	48.2%	3.0%	13.1%	USD 93.31	-57%	25%

Probability-weighted value USD 49.96 (-77.0% vs price). Range USD 21.65 to USD 93.31, a spread of 169% of the base value. Read as a range, not a point.

Bear case. Demand softens and competition bites: year-one growth slows to 2%, the sustainable operating margin settles near 24%, and the market prices the added risk through a 16.1% discount rate. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

Base case. The central case, identical to the headline DCF: year-one growth of 20% decaying toward 2.5%, a terminal margin of 36%, discounted at 14.6%.

Bull case. Growth proves durable and operating leverage plays out: year-one growth holds at 40%, margins recover toward 48%, and an easing risk premium lowers the discount rate to 13.1%. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

ASSUMPTIONS

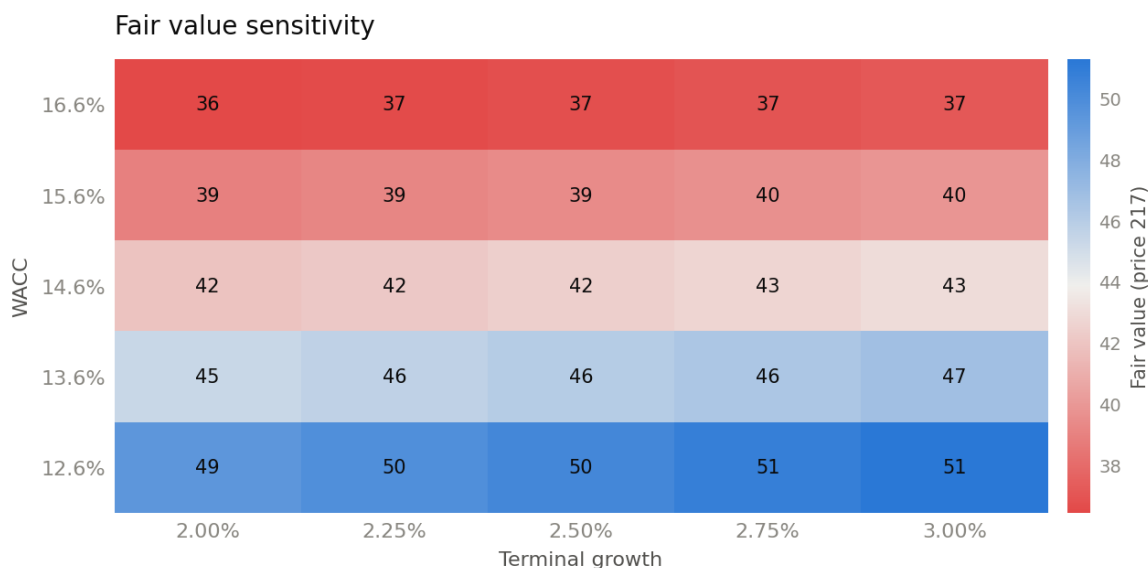
Every input to the model, how it was derived, and why. Inputs marked **bounded** were proposed by the language model and constrained to a range supported by reported history before entering the calculation.

Assumption	Value	Basis	Derivation
Risk-free rate	4.6%	Live market data	US 10-year Treasury yield (^TNX), latest close
Equity risk premium	5.5%	Standard default	Standard premium for US
Beta (Blume-adjusted)	1.81x	Live market data	Five-year raw beta 2.21, Blume-adjusted (0.67 x 2.21 + 0.33 x 1.00) = 1.81
Effective tax rate	13.5%	Derived from filings	Mean of tax expense / pre-tax income for FY2024-FY2026

Assumption	Value	Basis	Derivation
Cost of equity	14.6%	Derived from filings	CAPM: 4.65% + 1.81 x 5.50%
Pre-tax cost of debt	6.1%	Standard default	Risk-free 4.65% + 1.5% investment-grade spread
WACC (discount rate)	14.6%	Derived from filings	100% equity x 14.63% + 0% debt x 6.15% x (1 - 13%)
Terminal growth rate	2.5%	Model estimate (bounded)	Model estimate 2.5%, bounded to [1%, 4%]
Year 1 revenue growth	20.0%	Model estimate (bounded)	Model estimate 20%, bounded to [2%, 65%] from reported growth of 65%
Terminal operating margin	36.2%	Model estimate (bounded) (bounded)	Model estimate 30.0%, normalised down from today's 60.4%; kept within a maturity band of [36.2%, 62.4%] (floor 60% of current, ceiling the demonstrated peak)
Explicit forecast period	10	Standard default	10-year explicit forecast, then a perpetuity
D&A; as % of revenue	1.7%	Derived from filings	Three-year mean of depreciation and amortisation over revenue
Capex as % of revenue	2.3%	Derived from filings	Three-year mean of capital expenditure over revenue
Incremental working capital	25.0%	Derived from filings	Median change in working capital over change in revenue across 3 year(s) with material revenue growth, capped at 25%

SENSITIVITY

Fair value per share across the discount rate and terminal growth rate. Cells above the current market price are blue, below are red.



COMPARABLE COMPANIES

Company	Market cap	P/E	EV/EBITDA	EV/Sales
Advanced Micro Devices, Inc. (AMD)	758.8bn	118.6x	81.8x	18.9x
Broadcom Inc. (AVGO)	1.7tn	59.7x	44.0x	24.6x
Intel Corporation (INTC)	486.0bn	-	31.1x	9.2x
QUALCOMM Incorporated (QCOM)	169.2bn	18.6x	14.6x	4.0x
Taiwan Semiconductor Manufacturing Company Limited (TSM)	2.1tn	30.7x	4.7x	3.3x

Implied value applies the peer median P/E of 45.2x to trailing EPS of 4.90.

MODEL NOTES AND LIMITATIONS

- The analyst consensus (USD 300.00) sits 607% above our intrinsic DCF (USD 42.44). The blended value reconciles the two; read it as a triangulation, not a precise number.

- At USD 217.34 the price sits above even the bull case (USD 93.31); the market is pricing assumptions more optimistic than any of the three scenarios.
- The bull-to-bear range spans 169% of the base fair value, so the valuation depends heavily on which scenario plays out and should be read as a range rather than a point.
- Terminal operating margin was constrained to 36.2% (estimate was 30.0%).
- Financial statement figures are taken from SEC XBRL company facts (the company's own tagged filing data).

SOURCE DOCUMENTS

Every statement in this report is drawn from the documents below.

Q12027 Quarterly Report (10-Q) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000052/nvda-20260426.htm>

Q12027 Earnings Release (8-K) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000051/q1fy27pr.htm>

Q12027 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2027/Q127/NVDA-F1Q27-Quarterly-Presentation-FINAL.pdf

Q42026 Earnings Release (8-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000019/q4fy26pr.htm>

Q42026 Quarterly Report

https://s201.q4cdn.com/141608511/files/doc_financials/2026/q4/NVDA-Q4-2026-Earnings-Call-25-February-2026-5_00-PM-ET.pdf

Q32026 Quarterly Report (10-Q) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000230/nvda-20251026.htm>

Q32026 Earnings Release (8-K) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000228/q3fy26pr.htm>

Q22026 Quarterly Report (10-Q) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000209/nvda-20250727.htm>

Q22026 Earnings Release (8-K) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000207/q2fy26pr.htm>

Q12026 Quarterly Report (10-Q) · filed 2025-05-28

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000116/nvda-20250427.htm>

FY2026 Annual Report (10-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000021/nvda-20260125.htm>

FY2026 Earnings Release

<https://fortune.com/company-assets/1936/quatr/earnings-release-8-k-73c0d-2026-02-25-09-17-32.pdf>

Q42025 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2025/q4/NVDA-F4Q25-Quarterly-Presentation-FINAL.pdf

FY2025 Annual Report (10-K) · filed 2025-02-26

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000023/nvda-20250126.htm>

FY2024 Annual Report (10-K) · filed 2024-02-21

<https://www.sec.gov/Archives/edgar/data/1045810/000104581024000029/nvda-20240128.htm>

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